FALLEN EMPIRES

Kodiak Cakes: the deal sheet

Source note: figures come from Wikipedia, Food Republic, Looper, Trilantic, BizWest and Nosh. Investor or company claims are labeled as such.

The deal at a glance

- Shark Tank US, Season 5, Episode 22 (April 2014)
- The ask: $500,000 for 10% of the company, a $5 million valuation ($500,000 ÷ 10%)
- Robert Herjavec: $500,000 for 35% (about $1.43M valuation)
- Kevin O'Leary and Barbara Corcoran together: $500,000 for 50% (a $1M valuation)
- Result: no deal. The founders declined both offers.

What happened next

- Estimated $1 million in sales in the six weeks after airing (founder estimate)
- Annual sales: $3.6M in 2013, $6.7M in 2014
- June 2014: Protein Power Cakes launched, 14 g of protein per serving
- 2016: Sunrise Strategic Partners, minority investment (amount undisclosed)
- 2018: best-selling pancake mix brand at Target
- May 2021: L Catterton buys a majority stake (price undisclosed; an $800M rumor is unconfirmed)
- Reported annual revenue: over $200 million around 2021 (company/investor-reported, not audited)

3 things worth noticing

1. Demand was proven before the TV moment: Kodiak was already on Target shelves.
2. The founders knew what their company was worth to them and turned down 35% and 50% offers.
3. A product launch (Protein Power Cakes) kept new customers after the TV spike.

2 mistakes to avoid

1. Treating a "no deal" as a verdict on the business.
2. Treating this story as a rule: many founders who refuse offers still fail.

Glossary

- **Valuation:** what the whole company is worth = amount ÷ share. $500,000 for 10% means $5M.
- **Equity:** the share of a company you own.
- **Slotting fee:** money a brand pays a store for shelf space.
- **Minority stake:** an investor owns less than half; founders keep control.

This is a story summary, not investment advice.

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